

AAC (2018.HK)

Better 2H with new business in expansion; down to Neutral on fair valuation

2018.HK	12m Price Target: HK\$50.00	Price: HK\$40.10	Upside: 24.7%
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We remain positive on AAC's focus on premium smartphone models and components expansion (e.g., from acoustics to cameras, vapor chamber cooling, etc.), along with its extension to automotive electronics, AI data centers (e.g., cooling and lenses for CPO), and edge AI devices. Nevertheless, the 1H26 miss also reflects a slow smartphone market amid high memory costs; on a sector-relative basis, we downgrade AAC to Neutral from Buy. Our new 12-month target price is HK\$50.0 (vs. HK\$62.5 previously), implying 25% upside, which is lower than 87% upside for our Buy-rated coverage in Greater China Technology. The share price currently trades at 14x 2027E P/E on a +28% avg. NI YoY in 2027-28E, closer to our target P/E multiple of 17x, suggesting the positives are largely priced in. We could turn more positive on AAC if we were to see stronger-than-expected smartphone market, faster-than-expected AI data center products ramp up, or healthier-than-expected competition in smartphones.

AI data centers / edge AI devices as long-term upside: Besides automotive acoustics, we see AAC continuing to diversify into new end markets to reduce its single smartphone market exposure. In AI data centers, cooling and lenses are the key areas of expansion, including Coolant Distribution Units (CDUs), cold plate, Quantum Dot (QD), vapor chamber, and casing for optical modules cooling, as well as lenses for Co-Packaged Optics Fiber Array Units (CPO FAU). Edge AI devices are another area of upside for AAC, which could be new technology devices for consumers, expanding AAC's components market (e.g., acoustics, cameras, RF, casing, etc.). We are positive on AAC's rising exposure to generative AI, and would turn more positive on AAC once its AI data center / edge AI devices revenue exposure can offset the impact from modest smartphone market growth.

2H26 to recover: The company's 1H26 revenues were down 22% HoH to Rmb14.5bn on a slow season and slow smartphone market

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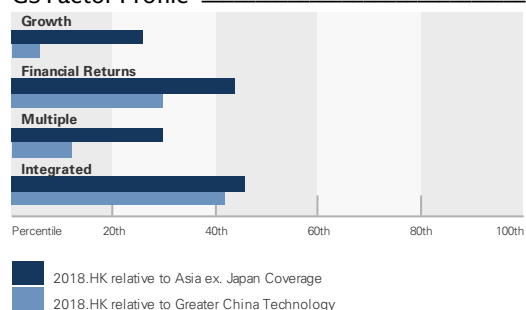
Key Data

Market cap: HK\$47.0bn / \$6.0bn
Enterprise value: HK\$43.5bn / \$5.5bn
3m ADTV: HK\$296.9mn / \$37.9mn
China
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	31,817.0	36,686.4	41,144.3	44,048.7
Revenue (Rmb mn) Old	31,817.0	37,612.5	41,881.7	44,693.5
EBITDA (Rmb mn)	5,622.2	6,251.6	6,893.8	7,082.5
EPS (Rmb) New	2.14	2.35	2.74	3.06
EPS (Rmb) Old	2.14	2.49	2.78	3.11
P/E (X)	17.8	14.6	12.6	11.2
P/B (X)	1.8	1.5	1.4	1.2
Dividend yield (%)	0.8	0.9	1.1	1.2
CROCI (%)	15.3	13.1	13.0	12.6
	12/25	6/26	12/26E	--
EPS (Rmb)	1.42	—	—	—

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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NEUTRAL

AAC (2018.HK)

Rating since Aug 23, 2026

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	17.8	14.6	12.6	11.2
P/B (X)	1.8	1.5	1.4	1.2
FCF yield (%)	9.6	3.3	4.6	11.2
EV/EBITDAR (X)	7.6	6.0	5.2	4.5
EV/EBITDA (excl. leases) (X)	7.6	6.0	5.2	4.5
CROCI (%)	15.3	13.1	13.0	12.6
ROE (%)	10.7	10.8	11.4	11.5
Net debt/equity (%)	(10.6)	(13.4)	(17.1)	(27.9)
Net debt/equity (excl. leases) (%)	(10.6)	(13.4)	(17.1)	(27.9)
Interest cover (X)	3.3	7.6	6.6	7.2
Days inventory outst, sales	48.6	47.0	57.5	67.3
Receivable days	83.5	72.0	72.0	73.0
Days payable outstanding	80.8	72.0	70.0	76.0
DuPont ROE (%)	10.1	10.1	10.7	10.8
Turnover (X)	0.6	0.7	0.7	0.7
Leverage (X)	2.0	1.9	1.9	1.8
Gross cash invested (ex cash) (Rmb)	44,697.3	49,157.5	53,406.4	55,133.0
Average capital employed (Rmb)	21,750.0	23,000.3	24,333.4	24,457.9
BVPS (Rmb)	20.77	22.80	25.17	27.81

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	16.4	15.3	12.2	7.1
EBITDA growth	12.7	11.2	10.3	2.7
EPS growth	39.8	9.8	16.4	11.6
DPS growth	40.2	9.8	16.4	11.6
EBIT margin	8.1	8.6	9.6	9.8
EBITDA margin	17.7	17.0	16.8	16.1
Net income margin	7.9	7.5	7.8	8.1

Price Performance



Source: FactSet. Price as of 21 Aug 2026 close.

Income Statement (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	31,817.0	36,686.4	41,144.3	44,048.7
Cost of goods sold	(24,801.2)	(28,236.7)	(31,520.5)	(33,675.2)
SG&A	(2,115.6)	(2,447.6)	(2,550.9)	(2,731.0)
R&D	(2,311.5)	(2,830.6)	(3,141.8)	(3,323.7)
Other operating inc./exp.)	—	—	—	—
EBITDA	5,622.2	6,251.6	6,893.8	7,082.5
Depreciation & amortization	(3,033.5)	(3,080.0)	(2,962.8)	(2,763.7)
EBIT	2,588.7	3,171.6	3,931.0	4,318.8
Net interest inc./exp.)	(747.9)	(323.5)	(542.3)	(534.9)
Income/(loss) from associates	—	—	—	—
Pre-tax profit	2,886.8	3,079.6	3,568.7	3,983.9
Provision for taxes	(347.5)	(302.9)	(358.1)	(399.8)
Minority interest	(27.3)	(18.0)	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	2,512.0	2,758.7	3,210.6	3,584.1
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	2,512.0	2,758.7	3,210.6	3,584.1
EPS (basic, pre-exception) (Rmb)	2.14	2.35	2.74	3.06
EPS (diluted, pre-exception) (Rmb)	2.14	2.35	2.74	3.06
EPS (basic, post-exception) (Rmb)	2.14	2.35	2.74	3.06
EPS (diluted, post-exception) (Rmb)	2.14	2.35	2.74	3.06
DPS (Rmb)	0.29	0.32	0.37	0.42
Div. payout ratio (%)	13.6	13.6	13.6	13.6

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	8,612.3	11,133.1	12,620.4	16,753.6
Accounts receivable	6,819.5	7,654.0	8,578.3	9,041.2
Inventory	4,531.8	4,906.2	8,047.4	8,190.5
Other current assets	2,238.7	2,238.7	2,238.7	2,238.7
Total current assets	22,202.3	25,932.0	31,484.8	36,224.0
Net PP&E	18,329.1	18,313.0	17,519.3	16,490.2
Net intangibles	1,639.1	1,205.1	886.0	651.4
Total investments	364.5	364.5	364.5	364.5
Other long-term assets	6,443.5	6,443.5	6,443.5	6,443.5
Total assets	48,978.5	52,258.2	56,698.2	60,173.6
Accounts payable	5,897.4	5,242.5	6,847.6	7,176.1
Short-term debt	382.9	1,882.9	1,882.9	1,882.9
Short-term lease liabilities	—	—	—	—
Other current liabilities	8,573.2	8,606.8	8,668.3	8,719.2
Total current liabilities	14,853.6	15,732.2	17,398.8	17,778.2
Long-term debt	5,592.2	5,592.2	5,592.2	5,592.2
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	3,589.4	3,589.4	3,589.4	3,589.4
Total long-term liabilities	9,181.5	9,181.5	9,181.5	9,181.5
Total liabilities	24,035.1	24,913.8	26,580.4	26,959.7
Preferred shares	4.0	4.0	4.0	4.0
Total common equity	24,356.8	26,739.9	29,513.2	32,609.3
Minority interest	586.5	604.5	604.5	604.5
Total liabilities & equity	48,982.5	52,262.2	56,702.2	60,177.6
Net debt, adjusted	(2,633.2)	(3,654.0)	(5,141.3)	(9,274.5)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	2,512.0	2,758.7	3,210.6	3,584.1
D&A add-back	3,033.5	3,080.0	2,962.8	2,763.7
Minority interest add-back	27.3	18.0	—	—
Net (inc)/dec working capital	1,133.1	(1,863.8)	(2,460.4)	(277.5)
Other operating cash flow	477.1	—	—	—
Cash flow from operations	7,183.0	3,992.9	3,713.0	6,070.3
Capital expenditures	(2,830.0)	(2,630.0)	(1,850.0)	(1,500.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(1,122.0)	—	—	—
Cash flow from investing	(3,952.0)	(2,630.0)	(1,850.0)	(1,500.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(244.7)	(342.1)	(375.7)	(437.2)
Inc/(dec) in debt	364.0	1,500.0	—	—
Other financing cash flows	(2,276.2)	0.0	0.0	0.0
Cash flow from financing	(2,156.9)	1,157.9	(375.7)	(437.2)
Total cash flow	1,074.1	2,520.8	1,487.3	4,133.2
Free cash flow	4,353.0	1,362.9	1,863.0	4,570.3

Source: Company data, Goldman Sachs Research estimates.

under the high memory costs. We expect HoH growth to turn positive at 53% in 2H26, driven by better seasonality, new smartphone models launch supporting dollar content, and new products (e.g., AI data center cooling) gradual ramp up. **1H26 miss:** OP income was down 47% HoH, or 33% / 22% behind our estimates/ Bloomberg consensus, mainly on lower-than-expected revenues and GM, and a higher-than-expected opex ratio, reflecting the slow smartphone market under high memory costs, which led to soft shipment growth, rising competition, and modest revenue growth that reduced operation efficiency.

Exhibit 1: AAC 1H26 result snapshot

Rmb mn	1H25	2H25	1H26	HoH	YoY	GS Act vs. GS		Cons.	Act vs Cons.
Revenue	13,318	18,499	14,506	-22%	9%	15,964	-9%	15,372	-6%
GP	2,754	4,262	3,244	-24%	18%	3,674	-12%	3,474	-7%
OP	776	1,813	960	-47%	24%	1,423	-33%	1,235	-22%
Net income	876	1,636	901	-45%	3%	1,135	-21%	1,013	-11%
Margins									
GM	20.7%	23.0%	22.4%			23.0%		22.6%	
OPM	5.8%	9.8%	6.6%			8.9%		8.0%	
NM	6.6%	8.8%	6.2%			7.1%		6.6%	

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

1H26 results by business units

- **Handset cameras:** Revenues were down 23% YoY due to lower shipment volumes amid the muted global smartphones market, partially offset by the mix upgrade towards mid/ high-end model, with 6P and above products' shipment penetration up to ~20%. 1H26 GM stayed flattish at 10.2%.
- **PSS/ automotive acoustics:** Revenues were up 23% YoY to Rmb2.2bn, driven by the vertical integration of acoustics, amplifiers, microphones etc. on vehicles for higher dollar content value. GM in 1H26 was down to 20.1%, which management attributes to the intensified competition in automotive industry.
- **Acoustics and Electromagnetic drives:** Revenues were up 14.2% YoY to Rmb6.0bn, supported by company's expanding Electromagnetic product portfolio toward micro acoustics, robotic motors, and active cooling solutions. GM in 1H was up 0.7ppts to 28.6%, driven by higher GM in the acoustics business (up 0.9ppts).

Earnings revisions: We factor in AAC's 1H26 results and revise down 2026-28E net income by 6%/ 2%/ 2%, mainly on lower revenues and GM. Revenues are revised down on lower smartphone component shipments (handset lens, camera module, RF mechanical, haptics, acoustics) to reflect the 1H26 miss amid the slow smartphone market. We revise down 2026-28E GM by 0.2ppts-0.3ppts on lower handset lens GM as we slow the pixel mix upgrade given under the slow smartphone market. Our updated earnings estimates are largely in line with Bloomberg consensus for 2026/ 27E.

Exhibit 2: Earnings revisions

Rmb m	2026E			2027E			2028E		
	Old	New	Chg	Old	New	Chg	Old	New	Chg
Revenue	37,613	36,686	-2%	41,882	41,144	-2%	44,694	44,049	-1%
GP	8,789	8,450	-4%	9,864	9,624	-2%	10,641	10,374	-3%
OP	3,551	3,172	-11%	4,066	3,931	-3%	4,454	4,319	-3%
Net income	2,922	2,759	-6%	3,264	3,211	-2%	3,651	3,584	-2%
EPS (Rmb)	2.49	2.35	-6%	2.78	2.74	-2%	3.11	3.06	-2%
Margins									
GM	23.4%	23.0%	-0.3ppts	23.6%	23.4%	-0.2ppts	23.8%	23.6%	-0.3ppts
OPM	9.4%	8.6%	-0.8ppts	9.7%	9.6%	-0.2ppts	10.0%	9.8%	-0.2ppts
NM	7.8%	7.5%	-0.2ppts	7.8%	7.8%	0ppts	8.2%	8.1%	0ppts

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: GS vs Bloomberg consensus

Rmb m	2026E			2027E		
	GS	BB	Diff %	GS	BB	Diff %
Revenue	36,686	36,922	-1%	41,144	40,807	1%
GP	8,450	8,418	0%	9,624	9,426	2%
OP	3,172	3,254	-3%	3,931	3,914	0%
Net income	2,759	2,795	-1%	3,210	3,345	-4%
Margins						
GM	23.0%	22.8%		23.4%	23.1%	
OPM	8.6%	8.8%		9.6%	9.6%	
NM	7.5%	7.6%		7.8%	8.2%	

Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 4: AAC P&L summary

Rmb m	1H25	2H25	1H26	2H26E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenues	13,318	18,499	14,506	22,180	17,667	20,625	20,419	27,328	31,817	36,686	41,144	44,049
GP	2,754	4,262	3,244	5,206	4,365	3,775	3,452	6,042	7,016	8,450	9,624	10,374
OP	776	1,813	960	2,211	1,483	745	457	2,079	2,589	3,172	3,931	4,319
Pretax income	1,035	1,852	1,015	2,065	1,413	861	823	1,990	2,887	3,080	3,569	3,984
Net income	876	1,636	901	1,857	1,316	821	740	1,797	2,512	2,759	3,211	3,584
EPS (Rmb)	0.76	1.42	0.79	1.63	1.09	0.69	0.63	1.53	2.14	2.35	2.74	3.06
Margins												
GM	20.7%	23.0%	22.4%	23.5%	24.7%	18.3%	16.9%	22.1%	22.1%	23.0%	23.4%	23.6%
OPM	5.8%	9.8%	6.6%	10.0%	8.4%	3.6%	2.2%	7.6%	8.1%	8.6%	9.6%	9.8%
NM	6.6%	8.8%	6.2%	8.4%	7.5%	4.0%	3.6%	6.6%	7.9%	7.5%	7.8%	8.1%
Ratios												
Opex ratio	14.8%	13.2%	15.7%	13.5%	16.3%	14.7%	14.7%	14.5%	13.9%	14.4%	13.8%	13.7%
Tax rate	15.6%	10.0%	10.0%	10.0%	8.5%	26.9%	30.7%	11.4%	12.0%	9.8%	10.0%	10.0%
YoY												
Revenues	18%	15%	9%	20%	3%	17%	-1%	34%	16%	15%	12%	7%
GP	14%	18%	18%	22%	3%	-14%	-9%	75%	16%	20%	14%	8%
OP	28%	23%	24%	22%	10%	-50%	-39%	355%	24%	23%	24%	10%
Net income	65%	36%	-2%	11%	-13%	-38%	-10%	143%	40%	10%	16%	12%
HoH												
Revenues	-17%	39%	-22%	53%								
GP	-24%	55%	-24%	60%								
OP	-47%	134%	-47%	130%								
Net income	-24%	79%	-45%	103%								

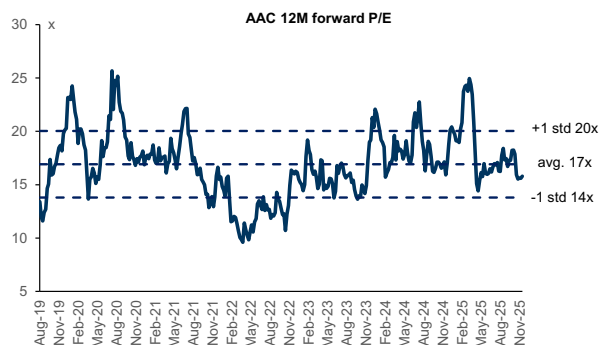
Source: Company data, Goldman Sachs Global Investment Research

Valuation: We continue to derive our target price using a near-term P/E. We use a 17.0x target 2027E P/E (vs. 21.0x previously), which is derived from the correlation between peers' P/E and NI YoY growth. The lower target P/E multiple reflects the sector de-rating on the slow smartphone market under high memory costs and our lower estimates for AAC's forward-year earnings growth considering the slow smartphone market. Our new target price is at HK\$50.0 (vs. HK\$62.5 previously). Our new target P/E multiple of 17x is in line with AAC's avg. 12M forward P/E (17x), and our new target price implies 0.7x 2027E PE against 2027-28E NI YoY and OPM, in line with peers' ratio of 0.3x to 0.9x. With less upside potential than our Buy-rated Greater China Technology coverage, we

downgrade AAC from Buy to Neutral.

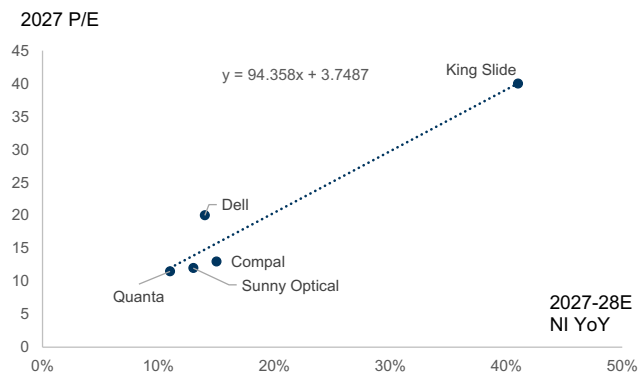
Since we added AAC to the Buy list on April 9, 2021, the stock has fallen 1.8% vs. -10.5% for the Hang Seng Index.

Exhibit 5: AAC 12M forward P/E



Source: Eikon Datastream

Exhibit 6: The target multiple is derived from correlation between peers' P/E and NI YoY



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: AAC's TP-implied PEG & M is in line with peers' trading PEG & M

Company Ticker	AAC 2018.HK	Company Ticker	Sunny Optical 2382.HK	Largan 3008.TW	Luxshare 002475.SZ	BYDE 0285.HK	Goertek 002241.SZ	Q-Tech 1478.HK
TP (lcy)	50	Price (lcy)	58.75	5,515	53.34	23.68	22.02	6.7
2027-28E NI YoY	14%	2027-28E NI YoY	14%	13%	37%	21%	15%	12%
2027-28E OPM	10%	2027-28E OPM	10%	43%	7%	2%	3%	4%
TP implied 2027E P/E	17	Trading 2027E P/E	12	26	11	10	16	8
TP Implied PEG & M	0.7	Trading PEG & M	0.5	0.5	0.3	0.4	0.9	0.5

Source: Company data, Goldman Sachs Global Investment Research, Eikon Datastream

Exhibit 8: AAC's Balance sheet and Cash flow statement

Rmb m	2022	2023	2024	2025	2026E	2027E	2028E
Cash and equivalents	6,814	6,825	7,538	8,612	11,133	12,620	16,754
Net receivables	4,279	5,362	7,739	6,820	7,654	8,578	9,041
Inventory	4,401	2,992	3,938	4,532	4,906	8,047	8,190
Other current assets	1,622	1,348	1,687	2,239	2,239	2,239	2,239
Current assets	17,116	16,527	20,902	22,202	25,932	31,485	36,224
Net PP&E/Fixed assets	19,302	18,070	17,884	18,329	18,313	17,519	16,490
Net intangibles	564	589	1,706	1,639	1,205	886	651
Long term investments	364	364	364	364	364	364	364
Other long-term assets	2,997	3,360	5,844	6,444	6,444	6,444	6,444
Total assets	40,343	38,911	46,700	48,978	52,258	56,698	60,174
Accounts payable	2,131	3,055	5,090	5,897	5,242	6,848	7,176
Short-term debt and current portion of long-term debt	1,833	1,464	1,728	383	1,883	1,883	1,883
Other current liabilities	5,091	5,611	7,585	8,573	8,607	8,668	8,719
Current liabilities	9,055	10,129	14,403	14,854	15,732	17,399	17,778
Long-term debt	1,727	1,726	3,883	5,592	5,592	5,592	5,592
Other long-term liabilities/creditors	7,366	4,684	5,297	3,589	3,589	3,589	3,589
Long term liabilities	9,093	6,410	9,180	9,182	9,182	9,182	9,182
Total liabilities	18,148	16,540	23,583	24,035	24,914	26,580	26,960
Common stock (par value, capital surplus)	98	97	97	97	97	97	97
Retained earnings	21,559	21,784	22,657	24,260	26,643	29,416	32,512
Total common equity	21,656	21,881	22,754	24,357	26,740	29,513	32,609
Minority interest (balance sheet)	539	490	362	587	605	605	605
Total equity	22,196	22,371	23,117	24,947	27,348	30,122	33,218
Total liabilities and equity	40,343	38,911	46,700	48,982	52,262	56,702	60,178
BVPS (Rmb)	18.00	18.50	19.35	20.77	22.80	25.17	27.81
AR days (days)	78	86	87	84	72	72	73
Inventory days (days)	109	80	59	62	61	75	88
AP days (days)	52	56	70	81	72	70	76
CCC days (days)	135	110	77	65	61	77	85
Net debt per share (Rmb)	(2.71)	(3.07)	(1.64)	(2.25)	(3.12)	(4.39)	(7.91)
Asset turnover	0.5	0.5	0.6	0.7	0.7	0.8	0.8
Leverage (assets to equity)	1.9	1.8	1.9	2.0	2.0	1.9	1.9
Net margin	4.0%	3.6%	6.6%	7.9%	7.5%	7.8%	8.1%
ROE	4%	3%	8%	11%	11%	11%	12%

Rmb m	2022	2023	2024	2025	2026E	2027E	2028E
Income pre-preferred share dividends	821	740	1,797	2,512	2,759	3,211	3,584
Minority interest add-back	(192)	(170)	(34)	27	18	-	-
Depreciation and amortization add-back	2,802	2,776	2,910	3,034	3,080	2,963	2,764
Net loss/(gain) on asset sales	-	-	-	-	-	-	-
(Increase)/decrease in working capital :	1,018	1,249	(1,288)	1,133	(1,864)	(2,460)	(278)
Accounts receivable	219	(1,083)	(2,377)	919	(834)	(924)	(463)
Inventory	1,294	1,409	(945)	(594)	(374)	(3,141)	(143)
Accounts payable	(495)	924	2,035	808	(655)	1,605	329
Other operating cash flow items	(77)	37	1,817	477	-	-	-
Cash flow from operations	4,372	4,633	5,203	7,183	3,993	3,713	6,070
Purchase of PP&E (CAPEX)	(1,758)	(1,364)	(2,071)	(2,830)	(2,630)	(1,850)	(1,500)
Other investment cash flow items	(591)	(148)	(1,414)	(1,122)	-	-	-
Cash flow from investing	(2,349)	(1,512)	(3,485)	(3,952)	(2,630)	(1,850)	(1,500)
Dividends (common and preferred) paid	(307)	(125)	(102)	(245)	(342)	(376)	(437)
Share repurchase/issue (change In common stock)	-	-	-	-	-	-	-
Increase/(decrease) in short-term debt	(1,070)	(369)	264	(1,345)	1,500	-	-
Increase/(decrease) in long-term debt	1,397	(1)	2,157	1,709	-	-	-
Change in minority interest	(152)	(50)	(127)	224	-	-	-
Other financing cash flow items	(1,308)	(2,628)	(3,219)	(2,454)	-	-	-
Cash flow from financing	(1,439)	(3,171)	(1,025)	(2,107)	1,158	(376)	(437)
Effect of foreign exchange rate changes	178	61	21	(50)	-	-	-
Total cash flow	762	11	714	1,074	2,521	1,487	4,133
Capex to revenues	9%	7%	8%	9%	7%	4%	3%
Free cash flow	2,614	3,269	3,132	4,353	1,363	1,863	4,570
FCF yield	7%	9%	9%	12%	4%	5%	13%
Dividends per share (Rmb)	0.10	0.09	0.21	0.29	0.32	0.37	0.42
Payout ratio	15%	14%	14%	14%	14%	14%	14%

Source: Company data, Goldman Sachs Global Investment Research

Upside/ Downside risks

1) Faster/ Slower-than-expected expansion of low-margin camera modules: The company continues to improve the GM of its camera modules for a better blended GM. If the margin expansion is faster or slower than expected, there's upside or downside risks to our estimates.

2) Fiercer/ Weaker-than-expected competition across handset lenses, camera modules, and existing product lines (acoustics, MEMS microphones, haptics, and RF mechanical): If the competition is fiercer than expected or not, it could cause upside or downside risks to our earnings estimates.

3) Faster/ Slower than expected innovative business expansion: The company is diversifying into new businesses across cooling, automotive acoustics, etc. If the expansion is faster or slower than we expected, there are upside or downside risks to our estimates.

Price Target Risks and Methodology - AAC

Valuation: We are Neutral rated with a 12-month target price of HK\$50.0 (based on a 17.0x 2027E P/E), with target P/E multiple derived from the correlation between peers' P/E and NI YoY growth.

Key downside risks include: 1) Faster/ Slower-than-expected expansion of low-margin camera modules; 2) Fiercer/ Less-than-expected competition across handset lenses, camera modules, and existing product lines (acoustics, MEMS microphones, haptics and RF mechanical); 3) Faster/ Slower than expected innovative business expansion.

AAC has a total solution across acoustics and Electromagnetic drives, automotive acoustics, handset cameras, precision mechanics and heat dissipation, and its sensor business. The company continues to focus on mid/ high end models to drive specification upgrades with higher dollar content, while diversifying into innovative businesses. We are Neutral-rated on AAC as we see the company's valuation as fair, trading at 14x 2027E P/E, largely in line with our TP implied 2027E P/E of 17x.

Disclosure Appendix

Reg AC

We, Allen Chang, Verena Jeng and Ting Song, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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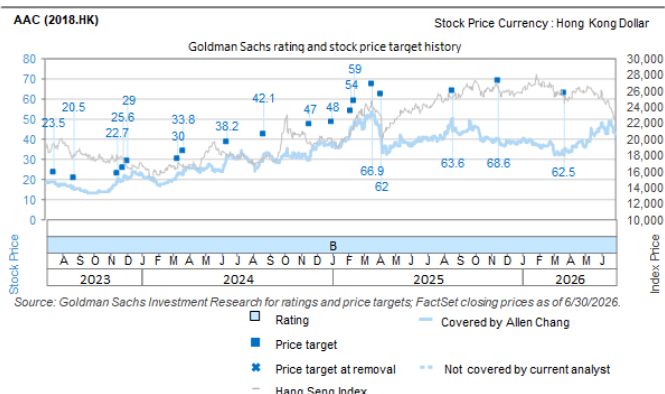
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Target price history table(s)

AAC (2018.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
22-Mar-26	62.50	32.22
16-Nov-25	68.60	39.70
21-Aug-25	63.60	43.72
06-Apr-25	62.00	41.35
20-Mar-25	66.90	52.05
13-Feb-25	59.00	46.55
06-Feb-25	54.00	45.45
02-Jan-25	48.00	36.25
19-Nov-24	47.00	30.00
23-Aug-24	42.10	32.75
13-Jun-24	38.20	30.85
21-Mar-24	33.80	22.70
10-Mar-24	30.00	22.10
06-Dec-23	29.00	20.55
27-Nov-23	25.60	20.55
17-Nov-23	22.70	20.40
24-Aug-23	20.50	15.56

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